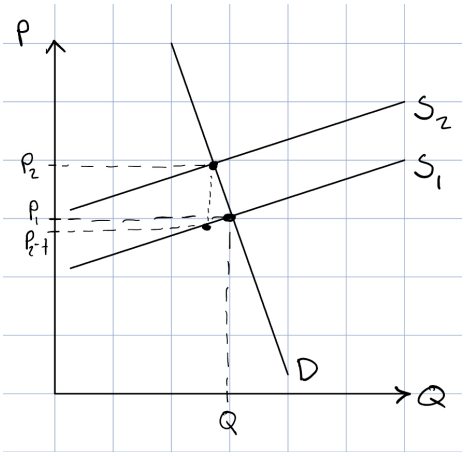
Ch. 6.2 HW

Principles of Microeconomics

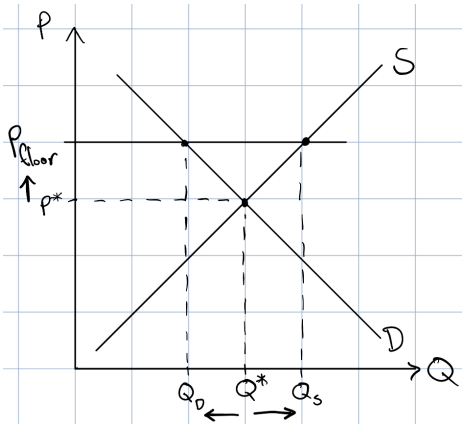
September 30, 2025

Quick Quiz

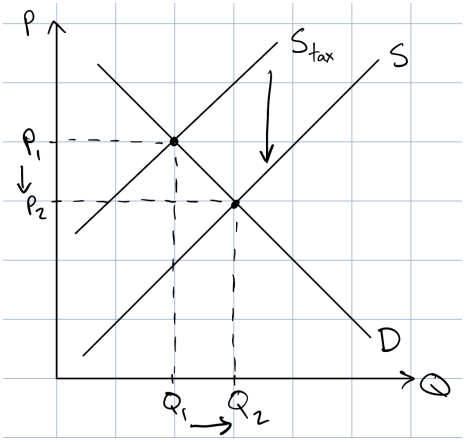
5. (a) – The incidence of a tax doesn't depend on who pays the tax.
6. (d) –



7. (c) –

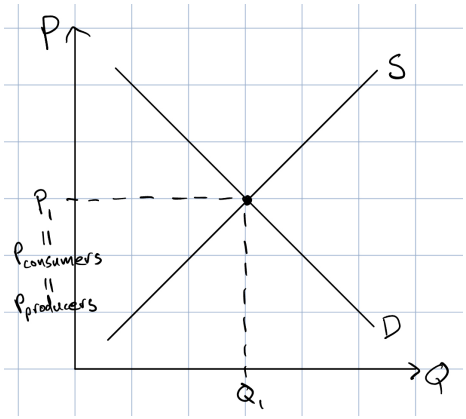


8. (b) –

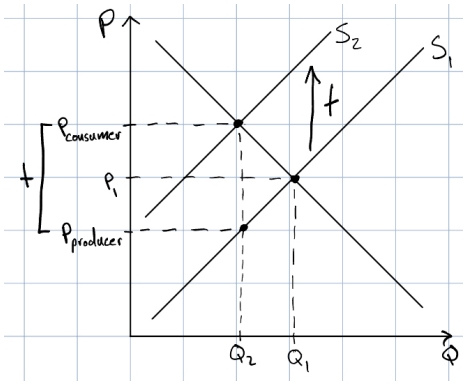


Problems and Applications

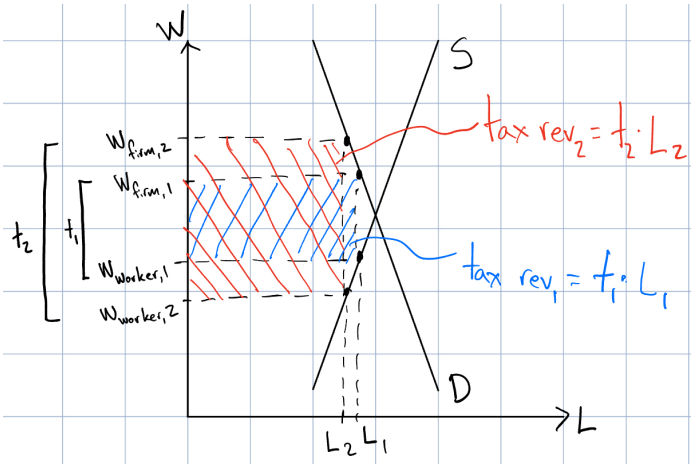
4. (a) At the market equilibrium, there is no difference between the price paid by consumers and the price received by sellers.



(b) The difference between the price paid by consumers and the price received by sellers is the amount of the tax, $2.

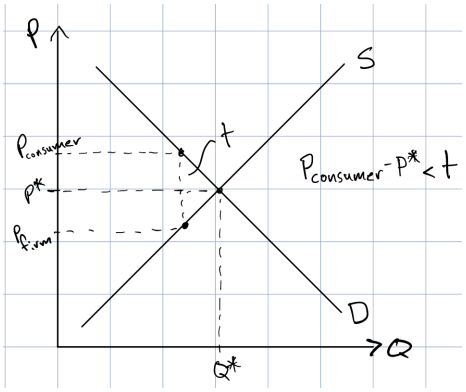


5. It would likely raise revenue. Labor demand and supply are likely inelastic, so a higher tax won't decrease the quantity of labor sold very much. If the tax rate rises and the quantity sold doesn't decrease much, tax revenue should increase.

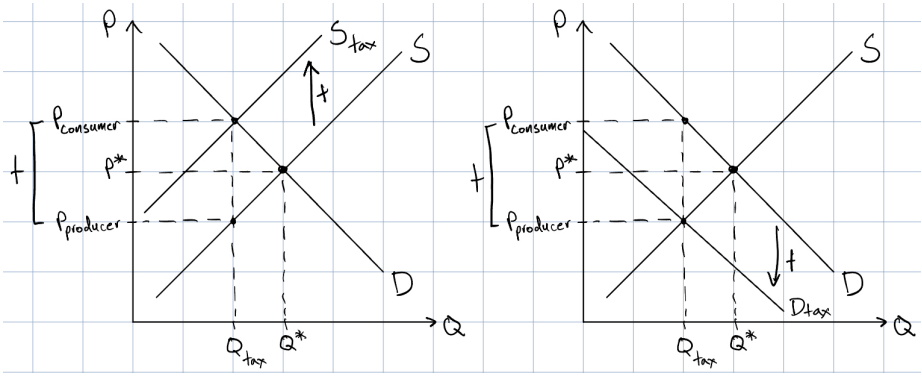


It wouldn't make workers better off. Who pays a tax doesn't determine the incidence of a tax. The elasticity of supply and demand determine the incidence of a tax. Since the policy does nothing to affect those two elasticities, it won't shift the incidence towards firms and away from workers. In fact, the tax will decrease the quantity of labor sold and decrease the wage workers receive, so it will make workers worse off.

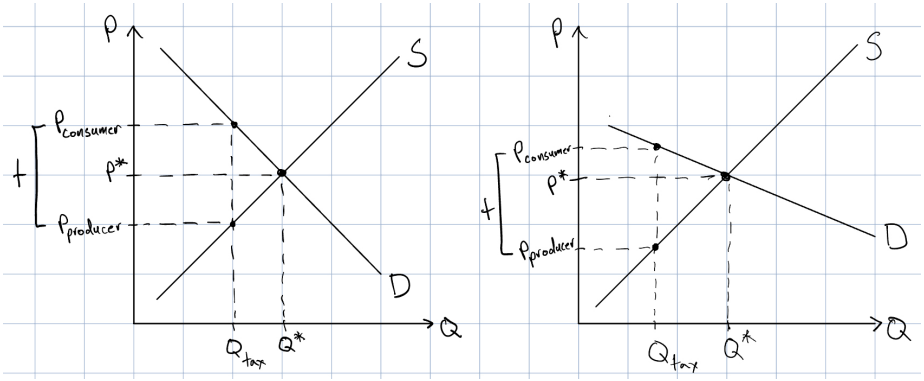
6. It will rise by less than $500. Since neither the supply nor the demand for luxury cars is perfectly elastic or inelastic, the incidence of the tax will be split between consumers and producers.



7. (a) It doesn't matter who congress imposes the tax on. Whether they impose it on producers or consumers, the decrease in quantity and the incidence of the tax will remain the same.



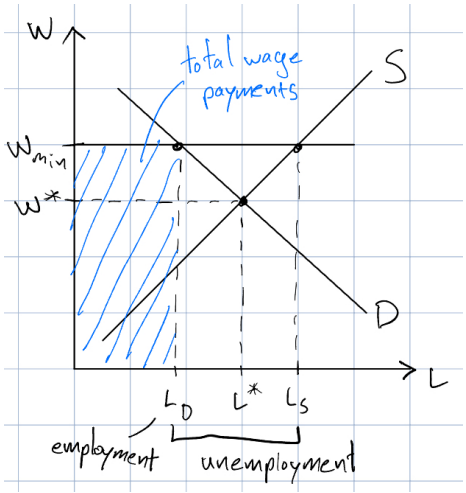
(b) It would be more effective. If demand were more elastic, more people would find substitutes and stop buying gasoline when the tax increased the price consumers pay. As a result, the quantity traded would decrease by a greater amount.



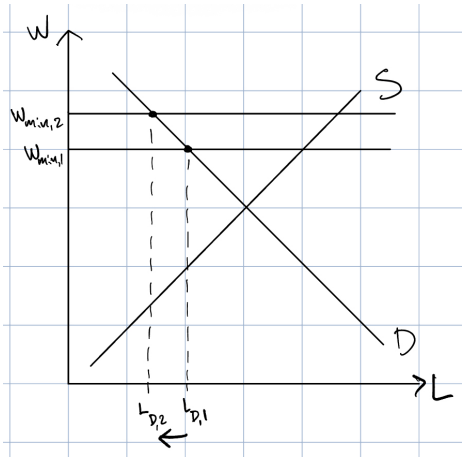
(c) It depends on how much they value the decline in air pollution. They buy less and pay more for gas, so they're hurt in the gas market. That said, if they value clean air more than they value cheaper gas, they end up better off.

(d) It depends on how much they value the decline in air pollution. They sell less gas and take home a lower price than before, so they're hurt in the gas market. That said, if they value clean air more than they value better gas sales, they end up better off.

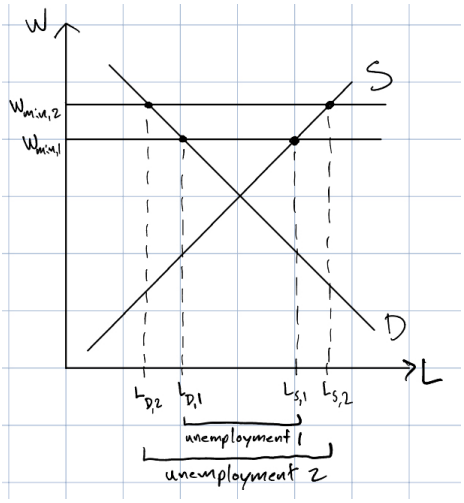
8. (a)



(b) The increase in the minimum wage would decrease employment because the quantity of labor demanded would decrease. Only the price elasticity of demand affects the change in employment because the slope of the demand curve determines how the quantity of labor demanded changes when price increases.



(c) The increase in the minimum wage would increase unemployment because the quantity of labor demanded would decrease at the same time that the quantity of labor supplied would increase. Both the price elasticity of demand and supply affect the change in unemployment. The slope of the demand curve determines how the quantity of labor demanded changes when price increases. The slope of the supply curve determines how the quantity of labor supplied changes when price increases.



(d) If labor demand were inelastic, the minimum wage increase would increase total wage payments because the decrease in employment would be proportionately smaller than the increase in wages. If labor demand were elastic, the minimum wage increase would decrease total wage payments because the decrease in employment would be proportionately larger than the increase in wages.

